Master Direction / Notification header: Title: Master Direction – Operational Resilience and Business Continuity Controls Reference number and date: RBI/DPSS/2026-27/91, dated Mar 18, 2026

The Reserve Bank of India, in exercise of its powers under section 35A of the Banking Regulation Act, 1949, hereby issues the following directions to all Regulated Entities.

1. Applicability and Definitions

1.1 These directions shall apply to all regulated entities undertaking banking, payment, digital lending or other technology-enabled financial services.

1.2 “Regulated Entity” means a bank or other financial institution regulated by the Reserve Bank of India.

1.3 “Critical Business Service” means a banking or payment service whose prolonged disruption may materially affect customers, financial stability or the regulated entity’s ability to meet regulatory obligations.

1.4 “Critical Service Provider” means a third-party service provider whose failure could materially disrupt a critical business service.

2. Business Continuity Planning

2.1 Every regulated entity shall identify and document all critical business services and their supporting systems within 60 days.

2.2 The Board-approved business continuity plan shall define recovery objectives, alternate operating arrangements, communication procedures and escalation responsibilities within 90 days.

2.3 Each regulated entity shall conduct a full business continuity and disaster recovery exercise for every critical business service within 6 months and submit the results to the Risk Management Committee within 15 days of completion.

3. Disaster Recovery and Backup

3.1 Regulated entities shall maintain geographically separated backups for critical databases and transaction records within 90 days.

3.2 Recovery procedures for critical systems shall be tested at least quarterly, with the first documented recovery test completed within 60 days.

3.3 Backup integrity shall be independently verified by the information technology function within 30 days of each quarterly recovery test.

4. Third-Party Risk Management

4.1 Before entering into any material outsourcing arrangement, the regulated entity shall complete a documented operational resilience and cybersecurity risk assessment within 30 days of vendor selection.

4.2 Existing arrangements involving critical service providers shall be reassessed within 6 months.

4.3 Material deficiencies identified under clause 4.2 shall be presented to the Risk Management Committee within 15 days of identification, together with remediation timelines.

5. Incident Escalation

5.1 The Chief Information Security Officer and Chief Risk Officer shall establish a joint incident escalation process within 45 days.

5.2 Any disruption of a critical business service exceeding 30 minutes shall be classified, investigated and documented within 24 hours of restoration.

5.3 Material service disruptions shall be reported to the Board or its designated committee within 7 days of closure.

6. Board and Committee Oversight

6.1 The Risk Management Committee shall review the regulated entity's operational resilience posture at least quarterly, with the first review completed within 90 days.

6.2 The report required under clause 6.1 shall include results of testing under clause 3.2, unresolved deficiencies under clause 4.3 and material incidents under clause 5.3.

7. Amendment to Earlier Notification

7.1 In partial modification of RBI Notification No. RBI/2023-24/87, dated November 15, 2023, requirements relating to annual disaster recovery testing shall stand amended to require quarterly testing for systems supporting critical business services.

8. Responsibility for Compliance

8.1 The Chief Risk Officer shall submit an annual operational resilience compliance certificate to the Board within 30 days after the end of each financial year.

These directions shall come into force with immediate effect.